

IN THE SUPREME COURT OF JUDICATURE.

COURT OF APPEAL.

Royal Courts of Justice.

Thursday, 29th July, 1971.

A Appeal by defendant from judgment of Master Elton given on
assessment of damages pursuant to Order 37 rule 1 on 8th March,
1971.

Before

THE MASTER OF THE ROLLS (Lord Denning),

LORD JUSTICE PHILLIMORE and

B LORD JUSTICE MEGAW.

Between

ANGLIA TELEVISION LIMITED

Plaintiff
Respondent

and

C ROBERT REED

Defendant
Appellant

(Transcript of the Shorthand Notes of The Association of Official
Shorthandwriters, Ltd., Room 392, Royal Courts of Justice, and
2, New Square, Lincoln's Inn, London, W.C. 2.)

D Mr. ANDREW BATESON, Q.C., and Mr. DESMOND BROWNE (instructed by
Messrs. Crawley & de Reya) appeared on behalf of the Respondent
Plaintiff.

Mr. GERALD BUTLER (instructed by Messrs. Richards, Butler & Co.)
E appeared on behalf of the Appellant Defendant.

- J U D G M E N T -

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THE MASTER OF THE ROLLS: We need not trouble you, Mr. Bateson.

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The Anglia Television Ltd. were minded in 1968 to make a film of a play for television entitled "The Man in the Wood". It portrayed an American married to an English woman. The American has an adventure in an English wood. The film was to last for 90 minutes. Anglia Television made many arrangements in advance. They arranged for a place where the play was to be filmed. They employed a director, a designer and a stage manager, and so forth. They involved themselves in much expense. All this was done before they got the leading man.

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They required a strong actor capable of holding the play together. He was to be on the scene the whole time. Anglia Television eventually found the man. He was Mr. Robert Reed, an American who has a very high reputation as an actor. He was very suitable for this part. By telephone conversation on the 30th August of 1968 it was agreed by Mr. Reed through his agent that he would come to England and be available between September 9th and October 11th 1968 to rehearse and play in this film. He was to get a performance fee of £1,050, living expenses of £100 a week, his first class fares to and from the United States, and so forth. It was all subject to the permit of the Ministry

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of Labour for him to come here. That was duly given on the 2nd September 1968. So the contract was concluded. But unfortunately there was some muddle with the bookings. It appears that Mr. Reed's agents had already booked him in America for some other play. So on the 3rd September 1968 the agent said that Mr. Reed would not come to England to perform in this play.

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He repudiated his contract. The Anglia Television tried hard to find a substitute but could not do so. So on the 11th September they accepted his repudiation. They abandoned the

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* proposed film. They gave notice to the people whom they had engaged and so forth.

A Anglia Television then sued Mr. Reed for damages. He did not dispute his liability, but a question arose as to the damages. Anglia Television do not claim their profit. They cannot say what their profit would have been on this contract if Mr. Reed had come here and performed it. So, instead of claim for loss of profits, they claim for the wasted expenditure. They had incurred the director's fees, the designer's fees, the stage manager's and assistant manager's fees, and so on. It comes B in all to £2,750. Anglia Television say that all that money was wasted because Mr. Reed did not perform his contract.

C Mr. Reed's advisers take a point of law. They submit that Anglia Television cannot recover for expenditure incurred before the contract was concluded with Mr. Reed. They can only recover the expenditure after the contract was concluded. They say that the expenditure after the contract was only £854.65, and that is all that Anglia Television can recover.

D The Master rejected that contention: he held that Anglia Television could recover the whole £2,750; and now Mr. Reed appeals to this Court.

E Mr. Butler, for Mr. Reed, has referred us to the recent unreported case of Perestrello & Companhia Limitada v. The United Paint Co. Ltd. on the 15th April, 1969, in which Mr. Justice Thesiger quoted the words of Chief Justice Tindal in 1835 in the case of Hodges v. Earl of Litchfield (1 Bingham's New Cases 492) at page 498:

F "The expenses preliminary to the contract ought not to be allowed. The party enters into them for his own benefit at a time when it is uncertain whether there will be any contract or not."

Mr. Justice Theobald applied those words, saying: "In my judgment pre-contract expenditure, though thrown away, is not recoverable."

A I cannot accept the proposition as stated. It seems to me
that a plaintiff in such a case as this had an election: he can
either claim for his loss of profits; or for his wasted
expenditure. But he must elect between them. He cannot claim
both. If he has not suffered any loss of profits - or if he
cannot prove what his profits would have been - he can claim
B in the alternative the expenditure which has been thrown away,
that is, wasted, by reason of the breach. That is shown by
Cullinane v. British "Rena" Manufacturing Co. Ltd. (1954 1 Q.B.
292) at pages 303, 308.

C If the plaintiff claims the wasted expenditure, he is not
limited to the expenditure incurred after the contract was
concluded. He can claim also the expenditure incurred before
the contract, provided that it was such as would reasonably be in
the contemplation of the parties as likely to be wasted if the
contract was broken. Applying that principle here, it is plain
D that, when Mr. Reed entered into this contract, he must have
known perfectly well that much expenditure had already been
incurred on director's fees and the like. He must have
contemplated -- or, at any rate, it is reasonably to be imputed
to him -- that if he broke his contract, all that expenditure
E would be wasted, whether or not it was incurred before or after
the contract. He must pay damages for all the expenditure so
wasted and thrown away. This view is supported by the recent
decision of Mr. Justice Brightman in Lloyd v. Stanbury (1971
1 W.L.R. 535). There was a contract for the sale of land.
F In anticipation of the contract - and before it was concluded -

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the purchaser went to much expense in moving a caravan to the site and in getting his furniture there. The seller afterwards entered into a contract to sell the land to the purchaser, but afterwards broke his contract. The land had not increased in value, so the purchaser could not claim for any loss of profit. But Mr. Justice Brightman held that he could recover the cost of moving the caravan and furniture, because it was "within the contemplation of the parties when the contract was signed."

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That decision is in accord with correct principle, namely, that wasted expenditure can be recovered when it is wasted by reason of the defendant's breach of contract. It is true that, if the defendant had never entered into the contract, he would not be liable, and the expenditure would have been incurred by the plaintiff without redress; but, the defendant having made his contract and broken it, it does not lie in his mouth to say he is not liable, when it was because of his breach that the expenditure has been wasted.

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I think the Master was quite right and this appeal should be dismissed.

D LORD JUSTICE PHILLIMORE: I agree.

LORD JUSTICE MEGAW: I also agree.

Appeal dismissed with costs.

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